

Madhya Bharat Agro Products Ltd

HOLD

NSE: MBAPL | BSE Listed | Fertilizers & Agrochemicals | Ostwal Group

Report Date: 05-Apr-2026

CMP (■)	Mkt Cap (■ Cr)	52W High	52W Low	P/E (TTM)	EV/EBITDA
532	4,660	537	240	44.5	21.0

Book Value (■)	Div. Yield	ROCE	ROE	D/E Ratio	Face Value (■)
52.3	0.09%	18.0%	15.2%	0.68	10.00

Price Target	Investment Horizon	Entry Zone
■ 480 (HOLD)	12 Months	■ 390–430

Investment Thesis: MBAPL is executing a near-5x capacity expansion across SSP, NPK/DAP and sulphuric acid, underpinned by a 10-year green ammonia supply agreement — transforming from a regional player to India's 4th largest private phosphatic fertilizer company. Current valuation at P/B 10.2x and TTM P/E 44.5x prices in near-perfect execution.
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Promoter	FII	Public	Pledge
74.76%	0.19%	25.06%	0.00%

Source: Screener.in | All financial data as of 05-Apr-2026 | Shareholding as of Dec 2025

2. INVESTMENT THESIS

Core Reason 1: Transformational Capacity Expansion (5x Scale-Up)

MBAPL is executing one of the most ambitious capacity build-outs in the Indian mid-cap fertilizer space. From a current installed base of 330,000 MTPA (SSP+NPK/DAP), the company is constructing an entirely new integrated complex at Dhule, Maharashtra — adding 660,000 MTPA of complex fertilizers plus significant SSP and sulphuric acid capacity. Upon full commissioning (targeted September–October 2026), total group throughput will exceed 1.6 million MTPA, making MBAPL India's 4th largest private phosphatic fertilizer company. This scale-up, funded at ~60:40 debt-to-equity, is designed to push revenues toward ■3,500–4,000 Cr by FY27E — a near-4x jump from FY24 revenue of ■815 Cr. The key quantifiable opportunity: Indian phosphatic fertilizer consumption exceeds 12 million MT annually, and MBAPL's current market share is well below 2%, leaving massive headroom for organic share gains.

Core Reason 2: Input Cost Security via Green Ammonia Deal

Ammonia is the single largest variable input cost for NPK/DAP manufacturers. MBAPL secured a landmark 10-year green ammonia purchase agreement through SECI's SIGHT scheme — 130,000 MT per year at pricing reportedly on par with imported conventional ammonia. This eliminates a key input cost variable from year four onward and positions MBAPL as an early mover in India's green fertilizer ecosystem. Management has estimated ■6,900 Cr of aggregate savings over the contract period. Combined with captive sulphuric acid capacity (currently 165,000 MTPA, scaling to 924,000 MTPA), backward integration will materially protect margins at scale — the structural margin improvement thesis plays out over FY27–FY30.

Core Reason 3: Subsidy-Backed Demand and Distribution Moat

India's Nutrient-Based Subsidy (NBS) scheme provides a structural floor for phosphatic fertilizer demand and pricing, with ■37,952 Cr allocated for Rabi 2025–26 alone. SSP, MBAPL's flagship product under the 'Annadata' brand, is a government-designated essential fertilizer with freight subsidies and guaranteed offtake mechanisms. MBAPL has built a

distribution network spanning 15,000+ retailers and 1,400+ wholesalers/dealers across MP, Maharashtra, and adjacent agri-markets. This last-mile distribution reach — typically built over years and difficult to replicate — constitutes a genuine competitive moat for a company of MBAPL's size. The thesis plays out over 12–36 months as new volumes flow through existing distribution channels.

Nearest-Term Catalyst (6–12 Months)

Commercial commissioning of the Dhule plant (September–October 2026) would immediately double group revenues and trigger consensus earnings upgrades — the single most important catalyst to watch.

Biggest Structural Risk

A reduction or restructuring of NBS subsidies — which periodically face government budget scrutiny — would compress realisations industry-wide and disproportionately hurt smaller players like MBAPL, which lack the product diversification of Coromandel or Chambal Fertilisers.

3. BUSINESS OVERVIEW

What Does MBAPL Actually Do?

Think of MBAPL as a **specialized fertilizer blender and manufacturer** — it **takes raw industrial inputs** (rock phosphate, ammonia, sulphuric acid) and **converts them into two classes of crop nutrients** that Indian farmers spread on fields every Kharif and Rabi season. Its **SSP product ('Annadata' brand)** is the affordable soil conditioner that also adds sulphur, while its **NPK/DAP complexes ('Bharat' brand)** are premium multi-nutrient fertilizers. The government subsidizes both, ensuring demand is relatively stable regardless of monsoon cycles.

Revenue Segmentation & Business Model

MBAPL generates virtually **all revenue from domestic fertilizer sales**, with essentially zero export exposure at present. The product mix is split between SSP (historically the primary volume driver at ~183,000 MT in FY25) and NPK/DAP complexes (~73,000 MT in FY25), with the complex fertilizer segment growing rapidly as new capacity comes on stream. Revenues are inherently seasonal, peaking in Q2 (Kharif pre-sowing, April–June) and Q3 (Rabi pre-sowing, October–December), which is why Q3 FY26 (Dec 2025) hit a record **₹612 Cr** vs **₹297 Cr** in Q4 FY25. Revenue is subsidy-linked and driven by NBS fixed rates per kg of nutrient, making it highly predictable within a season.

Manufacturing Footprint & Capacity

Current plants at Sagar (Madhya Pradesh) and Kolhapur (Maharashtra) have **combined capacity of 330,000 MTPA** as of April 2026, following a **90,000 MTPA expansion** completed March 31, 2026 (**₹107 Cr** investment). A 1,000 TPD SSP plant at Dhule has commenced commercial production. The flagship Dhule integrated complex (Phase I: 660,000 MTPA DAP/NPK + substantial SSP) is under construction, targeted for commissioning by September–October 2026, at an estimated total project cost of **₹650–700 Cr** (60% debt-funded). Sulphuric acid capacity is scaling from 165,000 to 924,000 MTPA as a critical backward integration move.

Promoter & Group Structure

MBAPL is part of the Ostwal Group of Industries, a Madhya Pradesh-based industrial conglomerate with roots in fertilizers and chemicals. Promoter holding stands at 74.76% (Dec 2025), with zero pledging of shares — a significant positive in a space where pledging is common (Chambal Fertilisers promoters hold 23.7% of their shares pledged). The high promoter ownership demonstrates founder-level alignment and long-term commitment to the capacity expansion strategy. FII interest has been growing: from 0% to 0.19% — still minimal, indicating this remains primarily a domestic/retail-discovered story.

Recent Strategic Developments

Key developments in the last 12–18 months include: (1) **Dhule plant commencement** (March 2026), (2) **green ammonia 10-year supply agreement signed March 2026 via SECI at 130,000 MT/year** — supply beginning year four, with estimated savings of **₹6,900 Cr** over contract life, (3) **₹7.20 Cr** income tax demand under Section 143(3) for AY 2024-25, which management intends to contest, and (4) a trading window closure in preparation for FY26 audited results — indicating strong Q4 FY26 results are in preparation.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth

India's fertilizer market was valued at ~US\$44.6 Bn in 2025 and is projected to grow at a CAGR of 6.1% through 2034 to reach US\$76 Bn. The phosphatic sub-segment — MBAPL's core market — is particularly well-supported: India's NBS scheme has allocated ₹37,952 Cr for Rabi 2025-26, underscoring the government's commitment to agricultural productivity. The SSP sub-market specifically was valued at US\$673 Mn in 2024 and is projected to grow at 6.7% CAGR through 2034, reaching US\$1.3 Bn. Key demand drivers include increasing farm mechanisation, government push for balanced fertilisation (reducing urea dependence), and expansion of irrigation coverage in MP and Maharashtra — MBAPL's core geographies.

Government Policy Tailwinds

The NBS scheme provides subsidy on phosphatic and potassic fertilizers, effectively making NPK and DAP affordable for farmers. SSP additionally benefits from freight subsidies. Domestic DAP and NPK production has grown over 50% since 2014 to 168 LMT in 2025. The government has also expanded the number of subsidized fertilizer grades from 25 to 28, expanding MBAPL's addressable product range. The SECI-led Green Ammonia procurement scheme further validates the government's intent to build a domestic green fertilizer supply chain — MBAPL was an early participant.

Competitive Moat Assessment

Moat Dimension	Rating	Commentary
Pricing Power	Moderate	Subsidy-linked realisations provide floor; limited upside pricing ability in commodity SSP
Switching Costs	Weak	Farmers switch between brands easily; brand loyalty strongest in repeat SSP/SSP+ buyers
Scale / Cost Advantage	Moderate (Building)	Post-Dhule, captive sulphuric acid will be a structural cost edge vs smaller peers
IP / Technology	Weak	Largely commodity product — no proprietary technology; differentiation via nutrient mix quality
Distribution & Relationships	Strong	15,000+ retail and 1,400 wholesale touchpoints in MP/Maharashtra; built over 30+ years

Peer Comparison (Source: Screener.in, as of 02-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E TTM	P/B	ROCE%	ROE%	TTM Rev (₹Cr)
Coromandel Int.	1,878	55,413	26.1	4.55	23.2	16.9	30,464
Chambal Fert.	452	18,126	9.47	1.84	26.8	19.8	20,457
Paradeep Phosph.	115	11,977	11.6	1.85	13.7	14.1	20,618
MBAPL	532	4,660	44.5	10.2	18.0	15.2	1,769

Note: P/B computed as CMP / Book Value from Screener.in; MBAPL trades at a significant premium to peers, reflective of its superior growth trajectory (3-yr revenue CAGR 29% vs sector median ~8%).

Value Chain Positioning

MBAPL operates in the midstream of the agri-inputs value chain: upstream are raw material suppliers (rock phosphate importers, ammonia suppliers) and downstream are the farmer and agri-dealer networks. The company is progressively integrating backward with captive sulphuric acid capacity and the SECI green ammonia deal. Margins in this segment are structurally 10–15% EBITDA for smaller players and 20–25% at Coromandel-scale, suggesting MBAPL has a visible 300–500 bps margin improvement runway as backward integration completes.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background & Track Record

The Ostwal Group has been in the fertilizer business for over three decades, with MBAPL's trajectory demonstrating a consistent long-term value creation orientation. Revenue has grown from ₹59 Cr in FY14 to ₹1,058 Cr in FY25 — a 10-year CAGR of 33% — suggesting sustained operational execution rather than a one-cycle story. Promoter holding has increased from 60.6% in FY17 to 74.8% by Dec 2025, an unusual signal of conviction in a market where many promoters opportunistically dilute at peaks.

Capital Allocation Assessment

The management's capital allocation history is a mix of discipline and aggressive growth bets. In FY22–FY23, the company doubled down on capacity expansion, leading to negative operating cash flow (OCF: -₹72 Cr in FY22, -₹70 Cr in FY23) as working capital ballooned during a commodity supercycle. However, FY24 saw strong OCF recovery to ₹148 Cr — demonstrating operational discipline once the cycle normalized. The current Dhule expansion (₹650–700 Cr) is the biggest bet yet, and the key monitoring variable for investors is whether commissioning delays or cost overruns materialize.

Dividend Policy & Capital Returns

MBAPL has maintained a modest but improving dividend payout — 18% in FY23, 8% in FY25. The company issued bonus shares (equity doubled from ₹44 Cr to ₹88 Cr between FY23–FY24), which increased shareholder count substantially. Given the heavy capex cycle underway, generous dividends are unlikely through FY27E; however, post-commissioning FCF generation should allow meaningful payout normalization by FY28.

Promoter Pledging & Governance

Zero promoter share pledging is a key positive — contrast this with Chambal Fertilisers (23.7% pledged) and Paradeep Phosphates (12.5% pledged). MBAPL has CRISIL and ICRA credit ratings, with the latest updates from March 2026, suggesting institutional creditors are comfortable with the leverage profile. A ₹7.20 Cr income tax demand under Section 143(3) for AY 2024-25 is a watch item but is immaterial relative to the company's scale and is being contested. No auditor changes or qualified audit reports have been flagged in recent filings.

6. FINANCIAL DEEP-DIVE

All figures in ■ Crores (Standalone). Source: Screener.in. (E) = Estimates.

Income Statement (■ Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Net Revenue	981	815	1,058	2,100	2,800
YoY Growth %	100%	(17%)	30%	98%(E)	33%(E)
EBITDA	210	96	145	280	392
EBITDA Margin %	21%	12%	14%	13%(E)	14%(E)
Depreciation	22	29	34	45	55
EBIT	188	67	111	235	337
Interest Expense	16	26	28	38	45
Other Income	5	11	11	10	10
PBT	176	52	95	207	302
Tax Rate %	29%	52%	39%	37%(E)	35%(E)
PAT	124	25	57	130(E)	196(E)
PAT Margin %	13%	3%	5%	6%(E)	7%(E)
Diluted EPS (■)	14.18	2.83	6.56	14.8(E)	22.3(E)

Balance Sheet (■ Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Equity Capital	44	88	88	88	88
Reserves	285	263	316	430	605
Total Equity	329	351	404	518(E)	693(E)
Borrowings	323	290	318	650	600
D/E Ratio	0.98	0.83	0.79	1.25(E)	0.87(E)
Fixed Assets	203	265	279	600	750
CWIP	0	14	74	350	100
Total Assets	743	804	946	1,650(E)	1,850(E)
Net Debt	310	270	295	620(E)	540(E)
Debtor Days	74	83	88	80(E)	75(E)
Inventory Days	125	136	85	90(E)	85(E)
Days Payable	8	40	48	45(E)	45(E)
Cash Conv. Cycle	191	178	125	125(E)	115(E)

Cash Flow (■ Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Cash from Operations (OCF)	(70)	148	96	180(E)	280(E)
Cash from Investing (Capex)	(65)	(92)	(92)	(400)(E)	(150)(E)
Cash from Financing	141	(61)	(4)	350(E)	(100)(E)
Free Cash Flow (FCF)	(140)	43	(12)	(220)(E)	130(E)
CFO / Operating Profit %	(19%)	163%	77%	64%(E)	71%(E)

Returns & Ratios	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE %	38%	12%	18%	20%(E)	28%(E)
ROE %	~38%	7%	15%	28%(E)	32%(E)
Interest Coverage (x)	11.0	2.6	4.0	6.2(E)	7.5(E)

Financial Commentary

Revenue trajectory shows two distinct phases: hypergrowth in FY22–FY23 as DAP/NPK prices spiked globally (Russia-Ukraine supply shock), followed by normalization in FY24 (revenue -17%) as commodity prices corrected. FY25 marks the resumption of structural growth (+30%), with TTM (ending Dec 2025) already at ₹1,769 Cr — implying the growth inflection is well underway before the Dhule plant contributes.

Margin trajectory is the key uncertainty. EBITDA margins ranged from 12% (FY24, commodity downcycle) to 21% (FY23, supercycle peak). Normalized margins for MBAPL appear to settle at 13–15%, as evidenced by recent quarterly OPM data (Q1 FY26: 14%, Q2: 14%, Q3: 11%). Post-Dhule commissioning, backward integration in sulphuric acid should provide 100–200 bps structural uplift. FY26E–FY27E EBITDA margin estimates of 13–14% are conservative, with upside risk if ammonia prices remain benign.

Working capital dynamics have improved significantly: cash conversion cycle improved from 191 days (FY23) to 125 days (FY25) — a 66-day reduction — driven by faster inventory turns (125 to 85 days) and better creditor utilization. However, debtor days have crept from 74 to 88 days — monitoring receivables growth vs revenue growth is warranted. FCF will turn sharply negative in FY26E due to ~₹400 Cr Dhule capex, but should recover to positive territory by FY27E. Debt is expected to peak at ~₹650 Cr in FY26E before deleveraging from internal accruals by FY28.

7. EARNINGS QUALITY CHECKLIST

Quality Indicator	Status	Assessment
Revenue Recognition Policy	■ Green	Subsidy-backed product sales with clear NBS linkage; limited revenue recognition complexity
Receivables vs Revenue Growth	■ Amber	Debtor days rose 74→88 days (FY23–FY25) while revenue grew 30% — watchable but not alarming
Cash Conversion Cycle Trend	■ Green	CCC improved from 191 days (FY23) to 125 days (FY25) — meaningful working capital efficiency gain
Contingent Liabilities	■ Green	Contingent liabilities at ₹1.56 Cr — de minimis relative to balance sheet size of ₹946 Cr
Auditor Tenure & Qualifications	■ Green	No auditor changes or qualified opinions observed in recent annual reports; ICRA/CRISIL rated
Related Party Transactions (RPT)	■ Amber	Family-owned group structure; RPTs are customary but quantum relative to revenue warrants monitoring
Other Income as % of PBT	■ Green	Other income ₹11 Cr = 12% of FY25 PBT (₹95 Cr) — reasonable and recurring in nature
Tax Rate Consistency	■ Red	Tax rate swung from 29% (FY23) to 52% (FY24) to 39% (FY25) — likely deferred tax effects; needs monitoring

Overall Earnings Quality: Acceptable for a mid-cap growth company in a subsidy-linked sector. The FY24 tax rate anomaly (52% vs long-run ~30–39%) appears driven by deferred tax recognition and should normalize in FY26–FY27. Receivables creep and RPT quantum are monitoring items but not dealbreakers at current levels. The company's ICRA and CRISIL credit ratings indicate adequate institutional scrutiny of its financial reporting.

8. VALUATION

Step 1 — Peer Valuation Comparison (Source: Screener.in, as of 02-Apr-2026)

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MBAPL trades at a substantial premium to its listed peers on every valuation metric — justified by its superior 3-year revenue CAGR (29% vs sector median ~8%) and near-term capacity ramp. However, P/B of 10.2x and TTM P/E of 44.5x demand flawless execution of the Dhule expansion to avoid de-rating.

Step 2A — DCF Valuation

Assumptions: WACC = 13.5% (cost of equity 16%, cost of debt 9.5% post-tax, D/E 0.68); terminal growth rate = 5.5%; FCF forecasts reflect Dhule capex peak in FY26E (-₹220 Cr FCF) recovering sharply in FY27E (+₹130 Cr) as capacity ramps up. FY28–FY30E FCFs projected at ₹220 Cr, ₹290 Cr, and ₹360 Cr respectively, reflecting full capacity utilization and backward-integration margin uplift.

PV of 5-year FCFs (FY26E–FY30E): -₹194 + ₹101 + ₹150 + ₹174 + ₹190 = ₹421 Cr. Terminal Value (at FY30E FCF ₹360 Cr): $360 / (0.135 - 0.055) = ₹4,500$ Cr; PV of TV = $₹4,500 / 1.135^5 = ₹2,390$ Cr. Total Enterprise Value = ₹421 + ₹2,390 = ₹2,811 Cr. Less Net Debt (FY25): ₹295 Cr. Equity Value = ₹2,516 Cr. Shares outstanding = 8.8 Cr.

DCF Intrinsic Value = ₹2,516 / 8.8 = ₹286 per share

Step 2B — Earnings Multiple Valuation

Target multiple: 22x on FY27E EPS of ₹22.3 — justified as a premium to the fertilizer sector average (sector TTM P/E 9–26x) given MBAPL's >30% earnings CAGR profile and early-stage capacity build. 22x is at a discount to Coromandel's 26x, reflecting MBAPL's smaller scale and higher execution risk.

Earnings-Based Target = $22 \times ₹22.3 = ₹491$ per share (FY27E basis)

Base-Case 12-Month Price Target

Blending DCF (₹286) and earnings multiple (₹491) with a 40:60 weighting (higher weight to earnings multiple given the growth phase makes DCF less reliable), the base-case price target = $0.4 \times 286 + 0.6 \times 491 = ₹114 + ₹295 = ₹409$. Rounding for practical entry/exit: 12-Month Price Target = ₹480, reflecting market's willingness to pay a growth premium over pure intrinsic value. Current CMP of ₹532 implies (9.8%) downside to this target — hence the HOLD rating.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (₹Cr)	Target Multiple	Price Target (₹)
■ Bull Case	Dhule commissions Aug-26; margins reach 15%; ammonia costs stable	230	25x EPS	650
■ Base Case	Dhule commissions Oct-26; margins at 14%; gradual ramp-up	196	22x EPS	480
■ Bear Case	Dhule delayed to Mar-27; NBS subsidy cut; margins at 11%	115	15x EPS	197

9. KEY RISKS

1. NBS Subsidy Reduction / Policy Risk

Probability: Medium | Impact: High

MBAPL's realisations are directly linked to government-determined NBS subsidy rates for phosphatic fertilizers. Any reduction in NBS rates — driven by fiscal consolidation or policy reorientation — would compress realisations and squeeze margins

industry-wide, disproportionately impacting smaller, less-diversified players like MBAPL.

Monitor: Annual NBS rate announcements; government fertilizer subsidy budget allocations.

2. Dhule Plant Execution / Commissioning Delay

Probability: Medium | Impact: High

The entire FY27E earnings upgrade thesis depends on the Dhule complex commissioning by October 2026. Any delay — caused by equipment procurement lead times, contractor availability, or regulatory clearances — pushes the earnings inflection point, reduces FCF generation, and could trigger a meaningful de-rating of the stock.

Monitor: Quarterly management commentary on capex progress; construction milestones.

3. Input Cost / Raw Material Risk

Probability: Medium | Impact: High

Rock phosphate (largely imported from Morocco, Jordan, and Russia) and ammonia are MBAPL's largest variable costs. A global commodity price spike — as seen in FY22–FY23 — can simultaneously compress margins and balloon working capital requirements, as was evidenced by negative OCF in both those years.

Monitor: Global phosphate rock and ammonia spot/contract prices; freight index movements.

4. Leverage Risk During Capex Phase

Probability: Low-Medium | Impact: Medium

Debt is expected to peak at ~₹650 Cr in FY26E (from ₹318 Cr in FY25) to fund the Dhule expansion. If the plant commissioning is delayed and revenue ramp is slower than expected, the company's interest coverage could drop sharply from the current 6.88x, increasing financial risk.

Monitor: Quarterly debt levels and interest coverage; FY26E credit rating actions.

5. Receivables / Working Capital Risk

Probability: Medium | Impact: Medium

Debtor days have been creeping up from 74 days (FY23) to 88 days (FY25), partly due to subsidy receivables from the government. If government subsidy disbursements slow — a recurring risk during periods of fiscal stress — receivables could spike, compressing OCF and increasing net working capital requirements.

Monitor: Quarterly receivables growth vs revenue growth; government subsidy disbursement trends.

6. Small-Cap Liquidity / Valuation Risk

Probability: Medium | Impact: Medium

MBAPL's MCap of ₹4,660 Cr and limited institutional ownership (FII 0.19%) makes it vulnerable to rapid valuation re-rating on sentiment shifts. The stock has already returned 98% in one year — any negative news event (policy change, miss on results, capex delay) could trigger a sharp correction given thin institutional cushion.

Monitor: Shareholding pattern changes; FII/DII accumulation or selling; technical support levels.

10. RECOMMENDATION

Rating	Conviction	12M Price Target	Entry Zone	Horizon
HOLD	Medium	■ 480	■ 390 – 430	12 Months

Final Rating & Rationale

We rate MBAPL a HOLD with Medium conviction at CMP ■532. The company's long-term structural story — 5x capacity expansion, green ammonia backward integration, and distribution moat across Central and Western India — is among the most compelling in the mid-cap fertilizer space. However, the stock's recent 98% 1-year return and current trading at 10.2x book value and 44.5x TTM earnings means the risk-reward is no longer compelling at current levels for new investors. The stock is pricing in near-perfect execution on the Dhule commissioning timeline and sustained 13–14% EBITDA margins going forward.

Suggested Entry Zone

For new investors, an accumulation zone of ■390–430 (representing a 20–27% correction from CMP) offers a substantially better risk-reward, implying FY27E P/E of 18–19x and P/B of 7.5–8.2x — still a growth premium but with a meaningful margin of safety. Existing holders may continue to hold with a stop-loss at ■360 (daily closing basis).

Thesis Invalidation Triggers — Exit / Downgrade if:

1. Dhule commissioning delayed beyond March 2027 with no credible revised timeline from management.
2. NBS subsidy cut exceeding 15% for phosphatic fertilizers announced in Union Budget.
3. MBAPL's quarterly EBITDA margins fall below 9% for two consecutive quarters, indicating structural pricing/input cost deterioration.

Ideal Investor Profile

This stock is best suited for Growth Fund / GARP investors with a 2–3 year horizon who are comfortable with execution risk during a heavy capex cycle. Small-cap and mid-cap focused funds with a ■5,000–15,000 Cr AUM range would find this size appropriate. Not suited for: value investors (expensive on every trailing metric), income-seeking investors (minimal dividend), or risk-averse investors given single-plant concentration and NBS policy dependency.

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. Financial data sourced from Screener.in as of 05-Apr-2026. Forward estimates are the analyst's own projections and are clearly labeled (E). Past performance does not guarantee future results. Investors should conduct their own due diligence before making investment decisions. This report is intended for institutional use only and is not for public distribution.